

Netflix, Inc. (NFLX)

Fundamental analysis & five-year outlook | July 12, 2026 | Price \$73.37 (7/10/26) | Market cap \$308.9B | post 10-for-1 split

The one-paragraph version. Netflix is down **43% from its July 2025 high** and sits 4% off a 52-week low — and almost none of that has to do with the business. Revenue grew 16% last quarter, operating margin hit 32.3%, free cash flow is inflecting hard (\$6.9B → \$9.5B → ~\$12.5B guided), the ad business is doubling to \$3B, and the balance sheet is essentially unlevered. What broke was the *story*: Netflix agreed in December to buy Warner Bros. for \$82.7B, the stock fell ~30%, Paramount Skydance outbid them, and Netflix **walked away — collecting a \$2.8B breakup fee**. The market has since punished it for *deals it did not do* (Roku, a denied Lionsgate rumor), and for Reed Hastings leaving the board. Management's response was to authorize a **\$31.8B buyback — larger than the entire 2026 content budget**. That is a company telling you its stock is cheap. My base case is ~16%/yr, the highest of the five names we've now worked through. But the bear case is real and it is not about streaming competition — it's that **revenue grew 16% while viewing hours grew 2%**. Netflix is monetizing existing engagement harder, not growing it. That well has a bottom, and nobody knows where it is.

1. History, business model, and revenue mix

The short history

Founded 1997 by Reed Hastings and Marc Randolph as a DVD-by-mail service. Pivoted to streaming in 2007, to original content in 2013 (*House of Cards*), and to global scale thereafter. The company has now been through three near-death narratives — Qwikster (2011), the 2022 subscriber decline, and the streaming-wars capital bonfire — and won all three. Reed Hastings stepped back to Executive Chairman in 2023, to non-executive Chairman in April 2025, and **announced in April 2026 that he will leave the board entirely when his term expires this year**. The company is run by **co-CEOs Ted Sarandos and Greg Peters**, with Spence Neumann as CFO.

Two things you need to know about the recent past, because they explain the entire chart:

- **Netflix stopped reporting quarterly subscriber numbers in 2025.** It now guides on revenue and operating margin only. It disclosed crossing **325 million paid memberships** in Q4 2025 as a milestone and has said little since. This is a deliberate change of frame, and you should read it as such — see \$5.
- **The 10-for-1 stock split (November 2025)** means every historical price and EPS figure you see elsewhere may be on a different basis. All figures in this report are post-split. Today's \$73 is \$733 in old money; the 52-week high of \$127.75 is \$1,277.50.

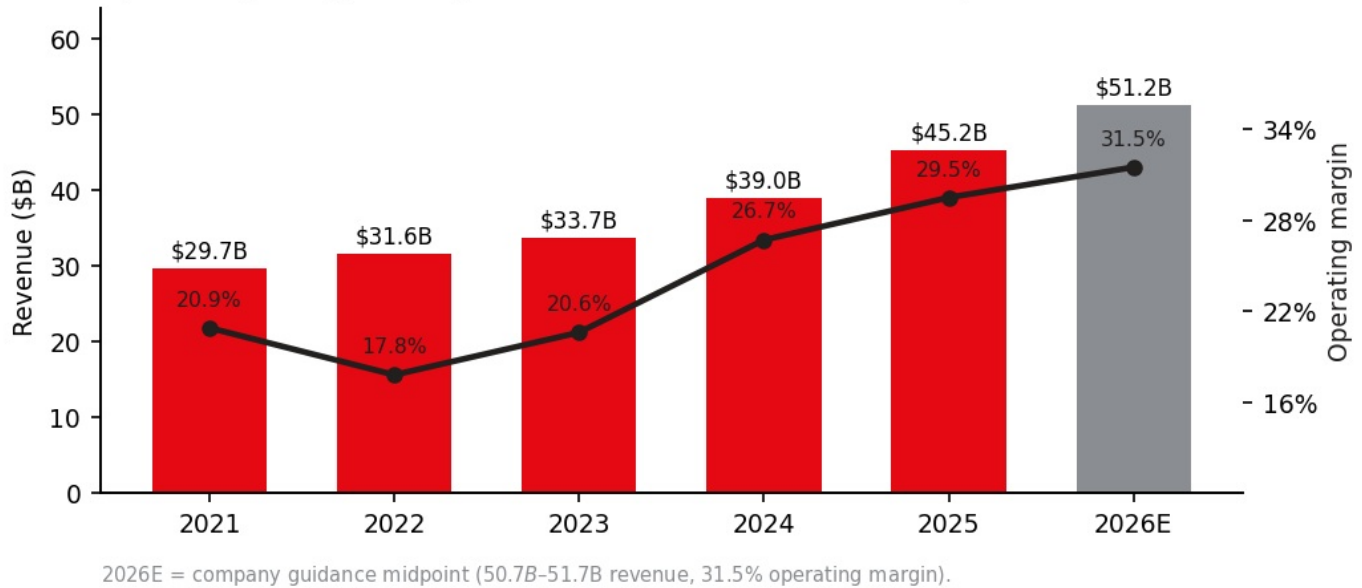
Business model

Netflix is a **global subscription business with real pricing power and a fixed-cost content base**. The economics are elegant: content is a largely fixed cost, so every incremental subscriber and every price increase drops through at very high margin. That is precisely what has happened — operating margin has gone from 17.8% (2022) to a guided **31.5% (2026)** while revenue grew 62%.

Revenue now comes from three levers, and the mix is shifting:

Lever	Status (2026)	Assessment
Membership growth	325M+ paid members. No longer disclosed quarterly.	Maturing in developed markets. Japan and other international markets still growing.
Price	The primary growth driver. Global ARPU ~\$11.70/month.	The lever with a ceiling. See \$5.
Advertising	~\$1.5B (2025) → ~\$3B guided (2026) . 250M+ monthly active viewers on the ad tier. Advertiser count +70% to 4,000+ . In-house ad platform fully rolled out.	The real growth story. Only in year four. This is where the next \$10B comes from.

Operating margin has gone from 18% to 31.5% in four years



Sources: Netflix 10-K filings 2021-2024; Q4 2025 shareholder letter (\$45.2B revenue, 29.5% operating margin, \$13.3B operating income); Q1 2026 shareholder letter (2026 guidance: \$50.7-51.7B revenue, 31.5% operating margin — reaffirmed). 2026E shown at the midpoint.

The management framing worth internalizing: Netflix's own shareholder letter estimates there are **750M+ broadband households** (ex-China/Russia) and **\$650B+ of entertainment revenue** in its markets, of which Netflix captured roughly 6%. It says it accounts for *less than 10% of TV viewing in every country it operates in*. Whether you believe that framing is the whole investment question — but it is at least an honest statement of the runway they think they have.

2. Moat and competitive landscape

Where the moat is real

- **Scale in content is a genuine moat.** Netflix spends ~\$20B/year on content and amortizes it across 325M+ members. A competitor with 50M members needs to spend the same to compete on library quality but has one-sixth the base to spread it over. This is the flywheel that killed Quibi, gutted Paramount+, and forced Disney into price hikes.
- **Habit, not switching cost.** Netflix's moat is behavioral, not contractual: ~2 hours per membership per day, 96 billion hours watched in H2 2025, industry-lowest churn. Cancelling is one click. Nobody does.
- **It won the war and the survivors are wounded.** Netflix is the only pure streamer that prints cash. Disney's streaming took a decade to break even; WBD had to sell itself; Paramount needed Ellison money; Comcast trades at 4.6x earnings with a 5.6% yield.
- **The ads business has structural advantages.** Premium, brand-safe, logged-in, living-room inventory at scale — the exact thing advertisers cannot get from user-generated video. Netflix built its own ad stack rather than renting Microsoft's, which means it keeps the margin.

Where the moat is thinner than the bulls admit

Share of total US TV time — Netflix is #3



Netflix hit an all-time-high 9.0% of US TV time in Dec 2025 (Nielsen). It is still behind YouTube and Disney. YouTube/Disney shares are approximate. Streaming overall crossed 47.5% of US TV viewing — a record. Linear is still >40%.

Sources: Nielsen "The Gauge," December 2025 — Netflix reached an all-time-high 9.0% of total US TV time; streaming as a whole crossed 47.5%, a record. **Sourcing note:** the YouTube and Disney shares shown are approximate and drawn from secondary reporting of the same Nielsen panel; treat them as directional. A separate Nielsen reading (January 2026) put Netflix third at 8.8%, behind YouTube and Disney.

YouTube is the competitor that actually matters, and it is winning. Netflix hit a record 9.0% of US TV time in December 2025 — and is still **#3, behind YouTube and Disney**. YouTube is free, has infinite supply, pays its creators a revenue share rather than a \$20B production budget, and is owned by Alphabet, which can subsidize it indefinitely. It is the only competitor whose content costs *fall* as it grows.

Netflix's answer is that YouTube and Netflix are different products serving different moments. That is largely true today. It may be less true as YouTube's premium and living-room share keeps compounding.

The other structural risks:

- **Paramount Skydance now owns Warner Bros. Discovery** — the full company, at ~\$110B enterprise value. That creates a competitor with HBO, HBO Max, the Warner Bros. studio, CNN and the cable networks, backed by Larry Ellison's family. Netflix walked away from an asset that its largest new competitor now owns.
- **AI-generated content cuts both ways.** The bull case: Netflix's \$20B content bill could fall sharply, expanding margin. The bear case: if compelling content becomes near-free to produce, the scale moat — "*we can afford to spend \$20B and you can't*" — evaporates. Nobody knows which way this resolves. I would not underwrite either.
- **Live sports and events are a departure from the model.** The World Baseball Classic, NFL Christmas games, Jake Paul fights. These drive engagement and premium ad inventory, but sports rights are expensive, inflationary, and structurally lower-margin. Watch the discipline here.

3. Growth drivers

Driver 1 — Advertising (the one that matters)

Ads went from ~\$600M (2024) to **>\$1.5B (2025, +2.5x)** to a guided **~\$3B (2026)**. The ad tier now reaches 250M+ monthly active viewers, the advertiser base grew 70% to 4,000+ clients, and Netflix has completed the rollout of its own in-

house ad platform. In year four. For scale: YouTube does ~\$40B of ad revenue. If Netflix's ad business reaches even \$10B by 2030 — a fraction of YouTube's — that alone is ~\$7B of incremental high-margin revenue on today's base. **This is the single largest unmodeled upside in the story.**

Driver 2 — Margin expansion, which management has explicitly committed to

17.8% (2022) → 20.6% → 26.7% → 29.5% → **31.5% guided (2026)**. Management has said plainly: "*our intent is to grow our operating margin each year.*" Content amortization is guided to grow ~10% in 2026 against revenue growth of 12-14% — that gap is the margin expansion, and it is mechanical as long as they hold the line on content spend.

Driver 3 — The buyback, which is now enormous

Netflix authorized a **new \$25B share repurchase program** on top of \$6.8B remaining from the prior one — **\$31.8B in total, or 10.3% of the entire market cap**. For context, the 2026 content budget is roughly \$20B. **Netflix is authorized to spend more buying its own stock this cycle than it spends making television.**

The buyback was *paused* during the Warner Bros. process to accumulate cash. It has resumed. With ~\$10B+/yr of clean free cash flow, essentially zero net debt, and no dividend, virtually all of that cash flow is available for repurchase — at a price 43% below last year's high. This is the clearest capital-allocation signal in the report.

4. Capital allocation — and the Warner Bros. episode

The story that explains the chart.

Dec 5, 2025: Netflix agrees to acquire the Warner Bros. studio and streaming assets (including HBO and HBO Max) from WBD for \$27.75/share — enterprise value ~\$82.7B. The market hated it immediately: leverage, integration risk, antitrust exposure, and a fundamental change to a famously asset-light model. **Netflix stock fell ~30% from the announcement.**

Feb 26, 2026: After Paramount Skydance (Ellison-backed) tabled a superior bid for *all* of WBD, Netflix was given four days to match. **It declined.** Sarandos and Peters: "*at the price required to match Paramount Skydance's latest offer, the deal is no longer financially attractive.*" Netflix collected a **\$2.8 billion breakup fee** and the stock rose ~14%.

March 1: Asked whether Netflix would pursue another studio, Sarandos: "*Unlikely. We are builders, not buyers.*"

The market does not believe him. In June, a report that Netflix had bid for Roku (Fox won it, \$22B) sent the stock down. A *denied* rumor about Lionsgate sent it down again. There is now a persistent M&A risk premium embedded in the price — the market is discounting Netflix for deals it did not do and says it will not do.

My read: walking away was the right call and it was expensive to make. Management showed genuine discipline under pressure, took a \$2.8B payment for the privilege, and immediately turned around and authorized a \$31.8B buyback. **That is exactly the capital-allocation behavior you want.** The market is punishing the *process* rather than crediting the *outcome*. That is usually where mispricing lives — but it is also possible the market is telling you something real about a management team that came within four days of a transformational deal it had told everyone it would never do.

Item	Status
Buyback authorization	\$31.8B (\$25B new + \$6.8B remaining) = 10.3% of market cap. Resumed post-WBD.
Dividend	None, and there should not be one.
Content spend	~\$20B (2026). Cash-content-to-amortization ratio ~1.1x.
Balance sheet	Gross debt \$14.4B; cash \$12.3B → net debt ~\$2.1B. Essentially unlevered.
M&A stance	"Builders, not buyers." One small acquisition (InterPositive) in Q1 2026.
Share count	4.21B and falling (4,378M → 4,317M FD over 2025, pre-pause).

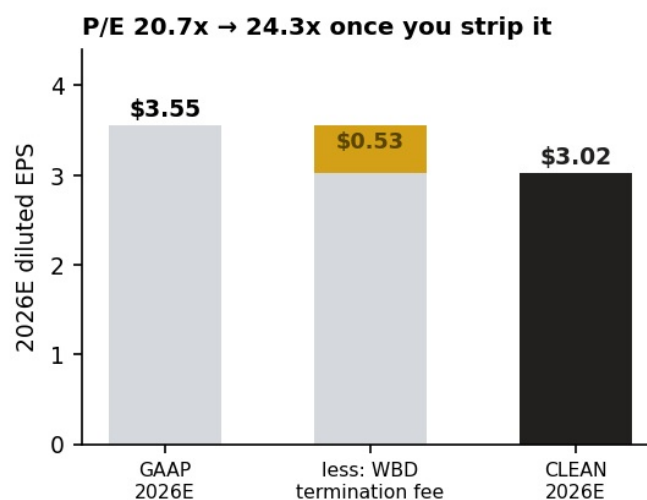
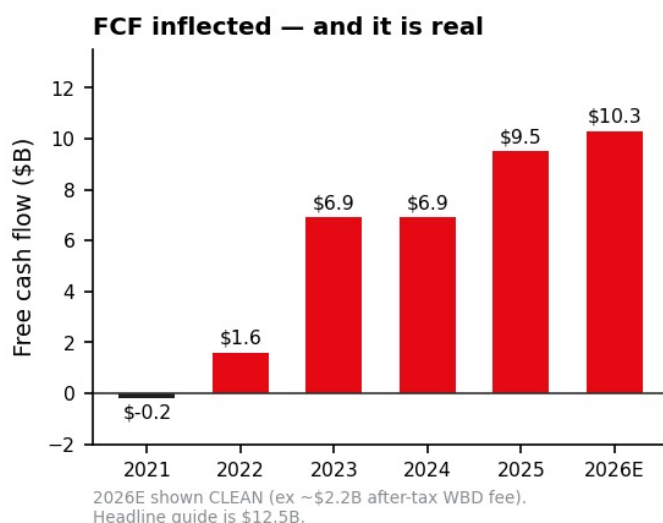
5. Financial deep dive

Five-year record

Calendar year	2021	2022	2023	2024	2025	2026E
Revenue (\$B)	29.7	31.6	33.7	39.0	45.2	~51.2
Revenue growth	—	6.5%	6.6%	15.7%	15.9%	12–14%
Operating income (\$B)	6.2	5.6	7.0	10.4	13.3	~16.1
Operating margin	20.9%	17.8%	20.6%	26.7%	29.5%	31.5%
Net income (\$B)	5.1	4.5	5.4	8.7	11.0	~15.1*
Diluted EPS (post-split)	\$1.12	\$1.00	\$1.20	\$2.03	\$2.58	~\$3.55*
Free cash flow (\$B)	(0.2)	1.6	6.9	6.9	9.5	~12.5*

*2026E net income, EPS and FCF **include the one-time \$2.8B Warner Bros. termination fee** — see below. **5-year CAGRs (2021–2026E): Revenue +11.5%, Operating income +21.1%.** Note 2022: revenue grew 6.5% and operating income *fell*. That is what a bad year looks like for this business.

Stripping the noise — the fee, and why the headline P/E lies



Left: free cash flow, with 2026E shown **clean** (~\$10.3B) rather than at the \$12.5B headline guide. Right: the EPS bridge. Sources: Netflix Q1 2026 shareholder letter (the \$2.8B fee is booked in "interest and other income," and the FCF guide was raised from \$11B to \$12.5B "primarily due to the after-tax impact of the Warner Bros.-related termination fee"). The clean figures are my calculation using a ~21% tax rate.

The number that matters. Netflix's 2026 headline EPS of ~\$3.55 implies a P/E of **20.7x**. But \$0.53 of that EPS is a one-time breakup fee that will never repeat. **Clean 2026E EPS is ~\$3.02, which is a P/E of 24.3x.** Similarly, the "\$12.5B FCF guide" is really ~\$10.3B of clean free cash flow — a 3.3% FCF yield, or ~30x price-to-clean-FCF.

Netflix is *not* a 20x stock. It is a ~24x stock. That is still reasonable for 13% revenue growth with expanding margins and a 10% buyback — but do not let anyone tell you it's trading at 20x.

Content accounting — the Netflix version of the depreciation debate

With Microsoft and Alphabet, the central accounting question was whether servers depreciated over six years are really six-year assets — i.e. whether earnings are *flattered* by a stretched schedule. Netflix has the same structural question (content is capitalized and amortized) but, importantly, **the answer runs the other way.**

Netflix guides to a **cash-content-spend-to-amortization ratio of ~1.1x**. In plain English: it is *spending* about \$20B of cash on content while only *expensing* about \$18B. It is putting more into the library than it is taking out. **Earnings are therefore not being flattered by a slow amortization schedule — if anything, free cash flow currently understates steady-state cash generation.**

The evidence: 2025 FCF of \$9.5B against net income of \$11.0B = 86% conversion, and rising. As the library matures and that ratio drifts toward 1.0x, FCF converges *upward* toward net income. **This is a materially cleaner set of books than either hyperscaler I looked at.**

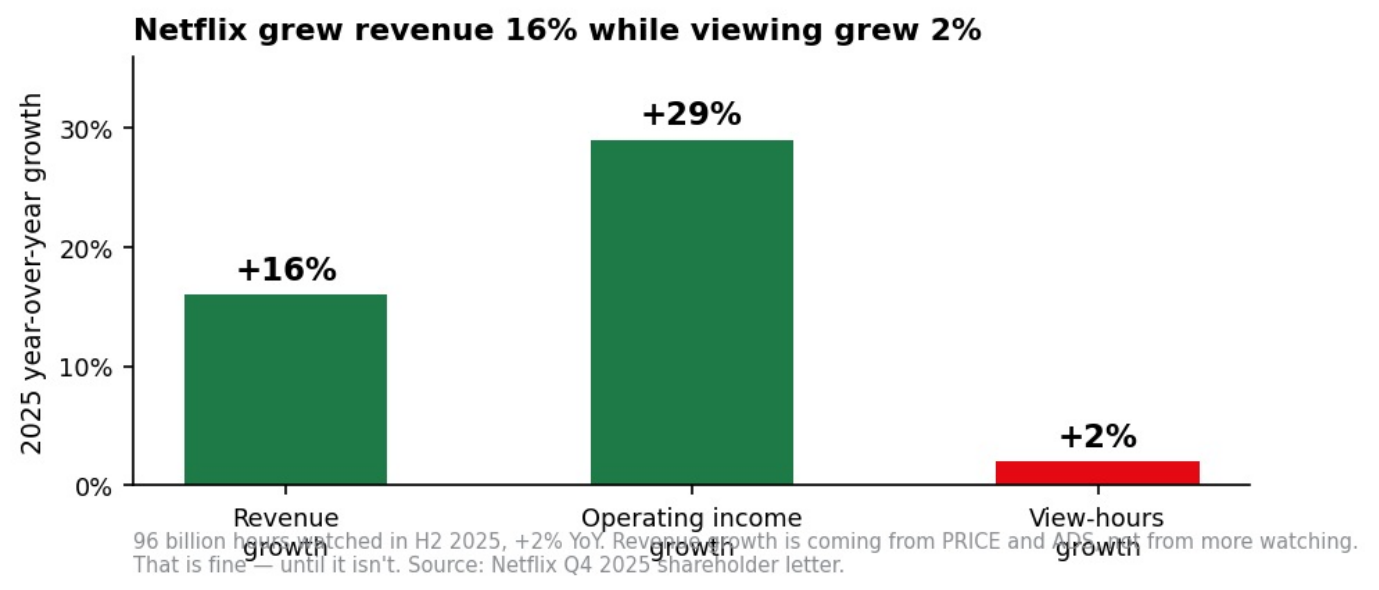
The thing to watch: if that ratio ever drops meaningfully below 1.0x, Netflix would be harvesting the library rather than building it — flattering near-term FCF at the expense of the future. It is not doing that today.

Key metrics — current

Metric	Value	Comment
Trailing P/E (TTM EPS \$3.15)	23.3x	Inflated by the termination fee
2026E P/E on CLEAN earnings	~24.3x	The honest number. vs MSFT ~22x, GOOGL ~29x
2027E P/E	~19x	On ~\$3.85 EPS
Clean FCF yield	3.3%	~\$10.3B / \$308.9B. P/FCF ~30x.
Operating margin	32.3% (Q1'26)	Up from 31.7%. Guided 31.5% FY.
Net debt	~\$2.1B	Effectively unlevered. Enormous optionality.
Buyback authorization	\$31.8B	10.3% of market cap; > the content budget
Dividend	None	Correct for a compounder
52-week range	\$70.86 – \$127.75	~43% from the high; +4% off the low
Analyst consensus target	~\$114	~55% above the current price. Take with salt.

Sources: Netflix Q4 2025 and Q1 2026 shareholder letters and 8-Ks; Robinhood market data (7/10/26). Clean EPS/FCF are my calculations. ROIC is omitted: with content capitalized on the balance sheet and a \$2.8B one-off running through other income, a single-year ROIC figure would be more misleading than useful here.

6. Key risks and red flags



This is the risk. Everything else is secondary.

In 2025 Netflix grew **revenue 16%** and **operating income 29%**. In the same year, **view hours grew 2%** — 96 billion hours in H2, up 1.5 billion. Netflix's own letter attributes the softness to a decline in non-branded/licensed viewing following the WGA-strike licensing bulge, with branded originals up 9%. That explanation is credible.

But strip it back and the arithmetic is unavoidable: **Netflix is extracting substantially more revenue from roughly the same amount of watching.** That is what pricing power looks like, and it is genuinely valuable — right up until the moment it isn't. Every price increase raises the bar for the next one. Every ad break slightly degrades the product you are charging more for.

And note what happened to the disclosure: Netflix stopped reporting quarterly subscriber numbers in 2025 — precisely as the growth mix shifted from members to price. I am not alleging bad faith. But when a company changes what it shows you at the exact moment the underlying metric gets harder to celebrate, that is worth writing down.

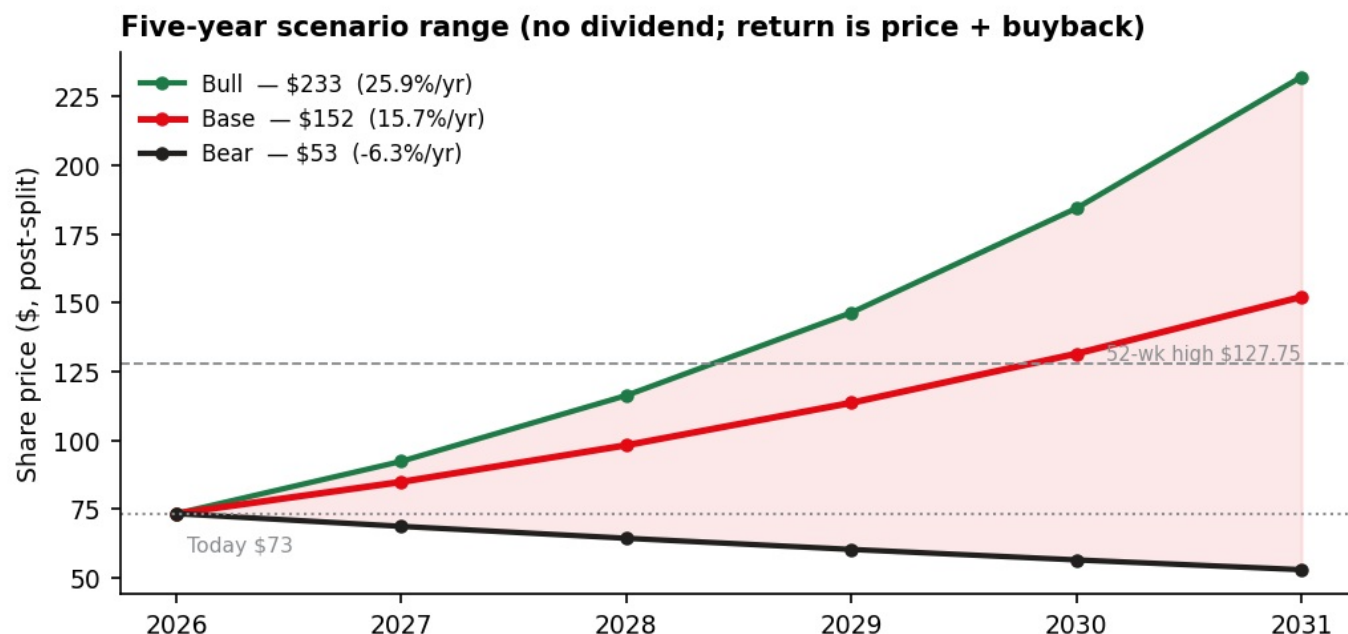
Risk	Severity	Assessment
Engagement is flat; growth is price	HIGH	See above. Watch view-hours in the bi-annual engagement report. If they go negative while price keeps rising, the thesis is breaking.
YouTube	HIGH	#1 in US TV time. Free. Infinite supply. Falling unit content cost. Owned by a company with a \$4.3T market cap that can subsidize forever. The only competitor with better economics than Netflix.
AI content commoditization	MED-HIGH	Genuinely two-sided and genuinely unknowable. If content becomes near-free to produce, the "\$20B budget" moat is worth much less. If it just cuts Netflix's costs, margins go to 40%. I model neither.
M&A risk premium	MEDIUM	The market now sells the stock on <i>rumours</i> . Management came within four days of an \$82.7B deal after years of saying they wouldn't. Credibility takes time to rebuild.
Paramount Skydance + WBD	MEDIUM	A ~\$110B competitor with HBO and the Warner studio, backed by Ellison capital. Netflix declined to own it; now it must compete with it.
Live sports cost inflation	MEDIUM	Drives engagement and ad inventory, but sports rights only ever get more expensive and never earn a library return.
Founder departure	LOW-MED	Reed Hastings off the board this year. Co-CEO structures are historically unstable. Culture risk is real but unmeasurable.
Content accounting	LOW	Genuinely clean at 1.1x cash-to-amortization. This is the one accounting question where Netflix scores better than MSFT or GOOGL.

7. Valuation and five-year outlook

Five-year scenarios (2026 → 2031)

Scenario	Rev CAGR	2031 revenue	Op margin	Shares	2031 EPS	Exit P/E	2031 price	5-yr IRR
Bear — price hikes stall, engagement rolls over, YouTube/Al erode the moat, ads underdeliver	5%	\$65B	28%	4.10B	\$3.53	15x	\$53	-6.3%
Base — ads compound to ~\$10B, margin grinds to 36%, buyback retires ~12% of shares, multiple normalizes	10%	\$82B	36%	3.70B	\$6.34	24x	\$152	+15.7%
Bull — ads scale hard, AI cuts content cost, live drives engagement, aggressive buyback, re-rating	13%	\$94B	39%	3.50B	\$8.30	28x	\$233	+25.9%

No dividend — total return is price appreciation plus the effect of the buyback on share count. My assumptions, not consensus. The bear case assumes multiple compression and growth deceleration together, which is how these things actually happen.



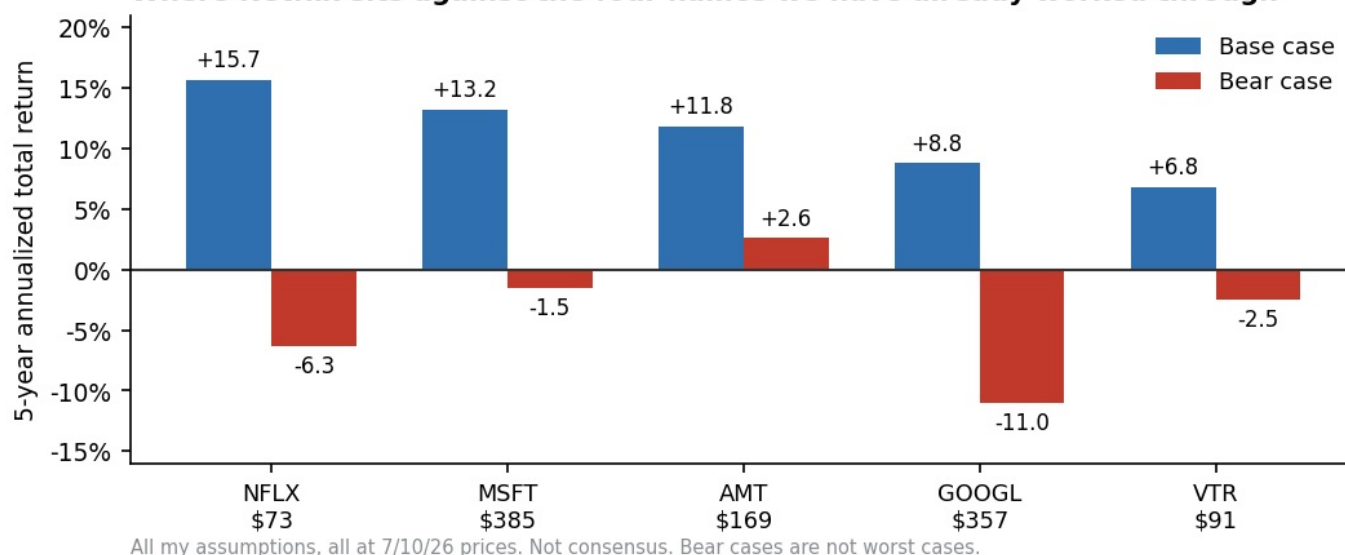
What is priced in at \$73?

Working backwards: at today's price, a buyer earning a **10% return** needs roughly **8% revenue CAGR**, a **33% operating margin**, and a **24x exit multiple**. Netflix grew revenue 16% last year and is guiding 12–14% this year. **You do not need the growth to accelerate. You need it to decelerate to 8% and stop there — and you still make 10%.** Even at a punitive 5% revenue CAGR with a 20x exit, you clear ~4%.

That is the most forgiving reverse-DCF of the five companies we've worked through. The market is pricing Netflix as though the price-increase well runs dry *and* ads disappoint *and* the multiple compresses. All three might happen. But you're being paid to take that bet in a way you are not being paid at Alphabet or Ventas.

Where this sits against the rest of the work

Where Netflix sits against the four names we have already worked through



All five at July 10, 2026 prices, using my own scenario assumptions across all five reports so the comparison is internally consistent. **These are not consensus estimates and the bear cases are not worst cases.**

Fit with your portfolio's growth objective. With the \$80,000 pension floor doing the income work, this sleeve exists to compound — and on that specific test, Netflix screens better than the other four names:

- **It is the highest base-case IRR of the five (~16%),** at the most beaten-down price (-43%), with the cleanest balance sheet (net debt ~\$2.1B) and the most aggressive buyback (10.3% of market cap).
- **It is genuinely uncorrelated with your AI-capex concentration.** MSFT, GOOGL and SOXQ are three expressions of one trade. Netflix is not — it doesn't need to build data centers, and its capital cycle is a \$20B content budget it fully controls. If the AI capex thesis disappoints, Netflix is one of the few things you own that isn't automatically hit. That diversification value is real and it is worth something.
- **It is a Buffett-shaped business.** Recurring revenue, demonstrated pricing power, negligible leverage, no dividend, and a management team that just walked away from an \$82.7B deal on price and then bought back its own stock instead. Munger would have liked that sequence a great deal.

The honest counterweight: the bear case (-6%/yr) is worse than Microsoft's (-2%) or American Tower's (+3%), because Netflix has no dividend to cushion the fall and no contracted backlog. And the risk that kills it — flat engagement meeting exhausted pricing power — is the hardest of any of the five to see coming, because Netflix has stopped showing you the metric that would reveal it first.

The three things to actually watch

1. **View hours, in the bi-annual engagement report.** Not revenue — *hours*. Revenue can be propped up by price for years. If hours go flat or negative while price keeps rising, the well is running dry and you will see it here first. This is the single highest-information disclosure Netflix still makes.
2. **Ad revenue against the ~\$3B target.** This is where the next leg of growth has to come from. A miss here, with engagement flat, breaks the base case.
3. **Buyback execution.** They authorized \$31.8B and said the stock is cheap. Watch whether they actually spend it at these prices, or whether the cash quietly goes toward the next deal. **Q2 results land July 16 — four days from now.**

Bottom line

The business is doing almost everything right: 16% revenue growth, 32% operating margins and rising, free cash flow inflecting from \$6.9B to over \$10B clean, an ad business doubling off a small base, a fortress balance sheet, and a management team that just demonstrated real capital discipline under enormous pressure — walking away from an \$82.7B acquisition, taking \$2.8B for the trouble, and authorizing a buyback larger than its entire content budget. **The stock is 43% below where it traded a year ago, and essentially none of that is because the business got worse.**

At ~24x clean 2026 earnings, my base case is ~16%/yr — the best of the five names on the desk — and the reverse-DCF says you only need growth to fall to 8% and stay there to make 10%. That is a favorable setup. **But the bear case deserves genuine respect, and it is not the one the headlines are chasing.** It has nothing to do with Warner Bros. or Roku or Reed Hastings. It is the quiet fact that Netflix grew revenue 16% on 2% more watching. That gap is the whole investment. Watch the hours.

Sources & disclosures. Primary: Netflix 10-K filings 2021-2024; Q4 2025 shareholder letter and Form 8-K (Jan 20, 2026); Q1 2026 shareholder letter and Form 8-K (April 16, 2026); Q1 2026 earnings call; 2026 DEF 14A. Netflix press release, "Netflix Declines to Raise Offer for Warner Bros." (Feb 26, 2026). Industry: Nielsen "The Gauge" (Dec 2025 / Jan 2026). Secondary: CNBC, Bloomberg via TechCrunch, Variety, Deadline, Motley Fool. Market data: Robinhood, July 10, 2026 close.

Known uncertainties, stated plainly: (1) **2026E net income, clean EPS and clean FCF are my calculations, not company figures.** Netflix guides revenue, operating margin and FCF — not EPS. I used a ~21% tax rate; a different assumption moves the clean P/E by roughly a point. (2) The \$2.8B termination fee is a company-disclosed figure booked in "interest and other income"; the after-tax split is my estimate. (3) The YouTube and Disney TV-share figures in §2 are approximate and drawn from secondary reporting of Nielsen panel data — Netflix's own 9.0% (Dec 2025) is the reliable number. (4) All prices and EPS are post the 10-for-1 split (Nov 2025); figures you find elsewhere may be on a pre-split basis. (5) **Netflix reports Q2 2026 on July 16 — four days from now.** Several figures here will be stale immediately. (6) I have modeled AI content disruption in neither direction; it is a genuine unknown that could plausibly add or subtract 10 points of margin.

This is educational research and analysis, not investment advice. I am not a licensed financial advisor, and nothing here is a recommendation to buy or sell any security. The cross-portfolio comparison uses my own assumptions applied consistently across five reports; it is a framing device, not a ranking you should act on mechanically. Position sizing and how this fits alongside your existing concentration should be decided by you — ideally with a fiduciary who can see your whole balance sheet.